CHAPTER 7

Preparing the Proper *Ethical and Legal* Foundation

OPENING PROFILE

TEMPERED MIND

Proceeding on a Firm Legal Foundation

• *Web: www.temperedmind.com* • *Facebook: Tempered Mind* • *Twitter: @temperedmind*

John Harden enlisted in the United States Air Force on September 11, 2001. He entered the Air Force as an Airman, which is an enlisted rank, as a computer systems operator. While serving a deployment in Qatar, he developed an interest in studying Japanese. He was eventually assigned duty in Japan, where he was disappointed in his inability to converse more fluently with the local population. The disappointment led Harden to check out several foreign language instruction programs, none of which he found to be particularly impressive.

In August 2004 Harden took a leave from active duty to enter the Air Force ROTC program at Oklahoma State University. While at Oklahoma State, he studied Japanese for two years, earning an A in each of his classes. Harden graduated from Oklahoma State in December 2007, and reentered the Air Force as second lieutenant and became a public affairs officer shortly thereafter.

Harden's interest in foreign language grew. He tried a number of foreign language instruction apps, but none maintained his interest. In his free time, he enjoyed playing games on apps or the Internet—the types of games where you have to slay dragons or perform some other feat to advance to higher levels. In fact, when trying to use a foreign language instruction program, Harden often caught himself switching back and forth from the language program to games, as he found them more engaging.

This was the inspiration for Tempered Mind, the mobile app company Harden launched in early 2012. The idea was to create a foreign language instruction platform that would combine both of his interests—foreign language and gaming. Rather than "gamify" educational material—using game mechanics in non-game contexts to engage users in solving problems—Harden sought to make studying and learning a primary requirement to progress through a fully-developed game. His approach is intended to leverage people's natural desire for competition, achievement, status, and self-expression while simultaneously keeping them engaged in learning new material. Harden decided to start with a program that would teach French, German, and Spanish. Those languages represent 93 percent of the foreign language instruction that is provided by U.S. public schools.

LEARNING OBJECTIVES

After studying this chapter you should be ready to:

1. Discuss the actions founders can take to establish a strong ethical culture in their entrepreneurial ventures.
2. Describe actions taken in new firms to effectively deal with legal issues.
3. Provide an overview of the business licenses and permits that a start-up must obtain before it begins operating.
4. Identify and describe the different forms of organization available to new firms.

The way in which Tempered Mind's app was developed, and the company was built, is an interesting story. Also interesting is the work that was done to place Tempered Mind on a sound ethical and legal foundation from the beginning.

Tempered Mind was created primarily by Harden, with some assistance from his brother, Dan Harden, and a family friend. Dan Harden is a certified financial planner (CFP) and is Tempered Mind's chief financial officer (CFO). The work on Tempered Mind began in early 2012, when Harden obtained the Internet domain name, www.temperedmind.com, which was available. To build the back end of the app, Harden used contract labor, found primarily on Odesk.com. Harden provided the overall vision for the game and managed the development process. To learn more about entrepreneurship, and the new venture creation process, Harden separated from the Air Force in spring 2012 and entered the Master's in Entrepreneurship program at Oklahoma State. One course, in particular, titled "Launching a Business: The First 100 Days," was instrumental in helping Harden actually start the business. The course is a very nuts-and-bolts class that walks students through the steps necessary to launch a new firm. Partly because of this course, and also as a result of his own initiative, one thing Harden prioritized was making sure Tempered Mind started on a firm ethical and legal foundation. Here are the specific steps that Harden took, some before the class and some after, to make this priority a reality.

- Obtained the appropriate Internet domain name (mentioned above)
- Obtained a Federal Tax Identification Number
- Obtained a DUNS Number (which is a nine-digit identification number used by Dun & Bradstreet for credit reporting purposes)
- Registered Tempered Mind as a C-Corporation
- Engaged an intellectual property attorney to obtain the appropriate copyrights and trademarks
- Created nondisclosure agreements for contractors
- Opened a bank account

These items placed Tempered Mind on a solid legal foundation. Business ethics was also a concern. There are several temptations that mobile app developers have to be careful to avoid. One is to essentially pay people to write positive reviews. Another is to exaggerate the potential and efficacy of the game. Harden was mindful of these temptations and vowed from the outset to avoid them. His posture was to create and run Tempered Mind in as ethical a manner as possible.

Tempered Mind is now up and running, and the app is available via the Apple App Store. Any review posted is from a legitimate user. The app is targeted towards the 13–22 age range. The hope is that Tempered Mind will be adopted by both traditional and online schools. At the time this featured was written, the company was on target to pilot its app in one school district in fall 2014. Although he is pleased with how Tempered Mind has progressed, Harden does have some suggestions for other entrepreneurs, particular in the area of establishing a legal foundation. He believes that having a full-time co-founder would have made the process easier. Tempered Mind has not engaged an attorney, other than to do the legal work necessary to obtain copyrights and trademarks. In retrospect, Harden felt that utilizing an attorney would have been helpful.

We begin this chapter with a discussion of the most important initial ethical and legal issues facing a new firm, including establishing a strong ethical organizational culture, choosing a lawyer, drafting a founders' agreement, and avoiding litigation. Next, we discuss the different forms of business organization, including sole proprietorships, partnerships, corporations, and limited liability companies.

In Chapter 12, we discuss the protection of intellectual property through patents, trademarks, copyrights, and trade secrets. This topic, which is also a legal issue, is becoming increasingly important as entrepreneurs rely more on intellectual property rather than physical property as a source of a competitive advantage. Chapter 15 discusses legal issues pertaining to franchising. The chapter next discusses the licenses and permits that may be needed to launch a business, along with the different forms of business organization, including sole proprietorships, partnerships, corporations, and limited liability companies.

As the opening feature about Tempered Mind suggests, new ventures must deal with important ethical and legal issues at the time of their launching. As a company grows, the legal environment becomes more complex. A reevaluation of a company's ownership structure usually takes place when investors become involved. In addition, companies that go public in the United States are required to comply with a host of Securities and Exchange Commission (SEC) regulations. Of course, firms established in nations throughout the world must comply with regulations that are specific to those countries.

Against this backdrop, the following sections discuss several of the most important ethical and legal issues facing the founders of new firms.

Establishing a Strong Ethical Culture for a Firm

LEARNING OBJECTIVE

1. Discuss the actions founders can take to establish a strong ethical culture in their entrepreneurial ventures.

One of the most important things the founders of an entrepreneurial venture can do is establish a strong ethical culture for their firms. The data regarding business ethics are both encouraging and discouraging. The most recent version of the National Business Ethics Survey was published in 2013. This survey is the only longitudinal study that tracks the experiences of employees within organizations regarding business ethics. According to the survey, 41 percent of the 6,420 employees surveyed reported that they had observed misconduct or unethical behavior in the past year. Of the employees who observed misconduct, 63 percent reported their observation to a supervisor or another authority in their firm.[1] The 10 most common types of misconduct or unethical behavior observed by the employees surveyed are shown in Table 7.1.

While the percentage of employees who have observed misconduct or unethical behavior (41 percent) is discouraging, it's encouraging that 63 percent of employees reported the behavior. Support, trust, and transparency also make a difference. Employees who reported that their supervisor conducts his or her personal life in an ethical manner reported ethical misconduct at a rate of 74 percent, compared to a 51 percent reporting rate for employees who are less confident about their direct supervisor's personal ethical conduct. Similarly, a total of 72 percent of employees who said they received positive feedback from their supervisor for their ethical conduct reported ethical misconduct when observed compared to only 51 percent that did not receive similar support.[2] Both of these comparisons indicate that an employee's supervisor makes a major difference in regard to whether an employee reports ethical misconduct or not.

In analyzing the results of its survey, the Ethics Resource Center concluded that the most important thing an organization can do to combat ethical misconduct is to establish a strong ethical culture.[3] But strong ethical cultures don't emerge by themselves. It takes entrepreneurs who make ethics a priority and

TABLE 7.1 Percentage of U.S. Workforce Observing Specific Forms of Misconduct or Unethical Behavior (Based on 2013 National Business Ethics Survey)

Form of Misconduct or Unethical Behavior	Percentage of U.S. Workforce Observing Behavior
Abusive behavior or behavior that creates a hostile work environment	18%
Lying to employees	17%
A conflict of interest—that is, behavior that places an employee's interests over the company's interests	12%
Violating company policies related to Internet use	12%
Discriminating against employees	12%
Violations of health or safety regulations	10%
Lying to customers, vendors, or the public	10%
Retaliation against someone who has reported misconduct	10%
Falsifying time reports or hours worked	10%
Stealing or theft	9%

Source: 2013 National Business Ethics Survey Ethics in the Recession (Washington, DC: Ethics Resource Center, 2013).

organizational policies and procedures that encourage ethical behavior (and punish unethical behavior) to make it happen. The following are specific steps that an entrepreneurial organization can take to build a strong ethical culture.

Lead by Example

Leading by example is the most important thing that any entrepreneur, manager, or supervisor can do to build a strong ethical culture in their organization. In strong ethical cultures, entrepreneurs, managers, and supervisors:

- Communicate ethics as a priority
- Set a good example of ethical conduct
- Keep commitments
- Provide information about what is going on
- Support following organizational standards[4]

Employees also have responsibilities. The most important things that employees can do to support a strong ethical culture in an organization are to:

- Consider ethics in making decisions
- Talk about ethics in the work (they) do
- Set a good example of ethical conduct
- Support following organizational standards[5]

In companies where these attributes are present, a stronger ethical culture exists. This reality demonstrates the important role that everyone involved with a start-up plays in developing a strong ethical culture for their firm.

Establish a Code of Conduct

A **code of conduct** (or code of ethics) is a formal statement of an organization's values on certain ethical and social issues.[6] The advantage of having a code of conduct is that it provides specific guidance to entrepreneurs, managers, and employees regarding expectations of them in terms of ethical behavior. Consider what Google has done in this area. The company's informal corporate motto is "Don't be evil," but it also has a formal code of conduct, which explicitly states what is and isn't permissible in the organization. The table of contents for Google's code of conduct is shown in Table 7.2. It illustrates the ethical issues that Google thinks can be bolstered and better explained to employees via a written document to which they are required to adhere. A copy of Google's full code of conduct is available at http://investor.google.com/conduct.html.

TABLE 7.2 Table of Contents of Google's Code of Conduct

1. **Serve Our Users**
    1. Integrity
    2. Usefulness
    3. Privacy, Security and Freedom of Expression
    4. Responsiveness
    5. Take Action
2. **Respect Each Other**
    1. Equal Opportunity Employment
    2. Positive Environment
    3. Drugs and Alcohol
    4. Safe Workplace
    5. Dog Policy
3. **Avoid Conflicts of Interest**
    1. Personal Investments
    2. Outside Employment, Advisory Roles, Board Seats and Starting Your Own Business
    3. Business Opportunities Found Through Work
    4. Inventions
    5. Friends and Relatives; Co-Worker Relationships
    6. Accepting Gifts, Entertainment and Other Business Courtesies
    7. Use of Google Products and Services
4. **Preserve Confidentiality**
    1. Confidential Information
    2. Google Partners
    3. Competitors/Former Employees
    4. Outside Communications and Research

(*continued*)

TABLE 7.2 Continued

5. **Protect Google's Assets**
    1. Intellectual Property
    2. Company Equipment
    3. The Network
    4. Physical Security
    5. Use of Google's Equipment and Facilities
    6. Employee Data
6. **Ensure Financial Integrity and Responsibility**
    1. Spending Google's Money
    2. Signing a Contract
    3. Recording Transactions
    4. Reporting Financial or Accounting Irregularities
    5. Hiring Suppliers
    6. Retaining Records
7. **Obey the Law**
    1. Trade Controls
    2. Competition Laws
    3. Insider Trading Laws
    4. Anti-Bribery Laws
8. **Conclusion**

Source: Google website, http://investor.google.com/corporate/code-of-conduct.html (accessed June 20, 2014). Google Code of Conduct © Google Inc.; used with permission.

In practice, some codes of conduct are very specific, like Google's. Other codes of conduct set out more general principles about an organization's beliefs on issues such as product quality, respect for customers and employees, and social responsibility. In all cases though, codes of conduct are intended to influence people to behave in ways that are consistent with a firm's ethical orientation.

Implement an Ethics Training Program

Firms also use ethics training programs to promote ethical behavior. **Ethics training programs** teach business ethics to help employees deal with ethical dilemmas and improve their overall ethical conduct. An **ethical dilemma** is a situation that involves doing something that is beneficial to oneself or the organization, but may be unethical. Most employees confront ethical dilemmas at some point during their careers.

Ethics training programs can be provided by outside vendors or can be developed in-house. For example, one organization, Character Training International (CTI), provides ethics training programs for both large organizations and smaller entrepreneurial firms. The company offers a variety of ethics-related training services, including ethics training videos/DVD programs, ethics online courses, train-the-trainer curriculum, and consulting services. A distinctive attribute of

CTI is its focus on the moral and ethical roots of workplace behavior. In workshops, participants talk about the reasons behind ethical dilemmas and are provided practical, helpful information about how to prevent problems and how to deal appropriately with the ethical problems and temptations that do arise. The hope is that this training will significantly cut down on employee misconduct and fraud and will increase morale.[7]

In summary, ethical cultures are built through both strong ethical leadership and administrative tools that reinforce and govern ethical behavior in organizations. Building an ethical culture motivates employees to behave ethically and responsibly from the inside out, rather than relying strictly on laws that motivate behavior from the outside in.[8] There are many potential payoffs to organizations that act and behave in an ethical manner. A sample of the potential payoffs appears in Figure 7.1.

The strength of a firm's ethical culture and fortitude is put to the test when it faces a crisis or makes a mistake and has to determine how to respond. Fitbit provides an example of this, as described in the nearby "What Went Wrong?" feature. In early 2014 Fitbit, the maker of wearable devices that measure data such as number of steps walked, quality of sleep, and other personal metrics, was forced to recall its newest product, the Fitbit Force. A number of users reported skin irritations from wearing the device (the Fitbit Force is worn on a user's wrist). Observers vary regarding whether Fitbit reacted quickly enough, and whether the episode tells us that Fitbit has a strong or weak ethical culture. After reading the case, you will be ready to decide for yourself.

Dealing Effectively with Legal Issues

LEARNING OBJECTIVE

2. Describe actions taken in new firms to effectively deal with legal issues.

Those leading entrepreneurial ventures can also expect to encounter a number of important legal issues when launching and then, at least initially, operating their firm. We discuss a number of these issues next.

Choosing an Attorney for a Firm

It is important for an entrepreneur to select an attorney as early as possible when developing a business venture. Selecting an attorney was instrumental in helping Tempered Mind, the company profiled in the opening feature, establish a firm legal foundation. Table 7.3 provides guidelines to consider when selecting an attorney. It is critically important that the attorney be familiar with start-up issues and that he or she has successfully shepherded entrepreneurs through the start-up process before. It is not wise to select an attorney just

FIGURE 7.1
Potential Payoffs for Establishing a Strong Ethical Culture

WHAT WENT WRONG?

Fitbit Force Recall: Did Fitbit React Quickly Enough?

Web: www.fitbit.com; Facebook: Fitbit; Twitter: @Fitbit

It's every business owner's nightmare. Your company launches a new product, the reviews are good, sales take off, and then, out of nowhere, people using your product start getting sick. The question quickly becomes: what to do? It's the type of question that tests a company's ethical culture and its moral fiber. In Fitbit's case, some observers feel the company met the challenge by putting its customer's health concerns first. Others feel Fitbit could have reacted more swiftly and decisively. Here's what happened.

Fitbit was launched in 2007. The company makes wearable activity trackers that measure data such as number of steps walked, quality of sleep, and other personal metrics. Fitbit has grown quickly and is the clear leader in the wearable activity tracker industry. Its market share is around 50 percent, well ahead of Jawbone and Nike, its main competitors in the industry.

Since its launch in 2007, Fitbit has produced a string of progressively better products, including the Fitbit Ultra, the Fitbit One, the Fitbit Zip, and the Fitbit Flex. On October 10, 2013, the company introduced the Fitbit Force, its newest product. The Fitbit Force tracks a number of statistics in real time, including steps taken, distance traveled, calories burned, stairs climbed, and active minutes throughout the day. It also tracks sleep quality at night. Initial reviews were both positive and enthusiastic.

Shortly after the Force went on sale, Fitbit started getting reports that a small fraction of users were experiencing skin irritations while wearing the device (the Force is worn around the user's wrist). Symptoms ranged from red, itchy skin to painful blisters that would ooze or bleed. Some users sought medical attention, and were typically prescribed prednisone (used to treat allergic reactions) and antibiotics. On January 14, 2014, Fitbit issued a statement indicating that it was looking into reports of users experiencing skin irritations as a result of wearing the Force. It suggested that the irritations were possibly a result of an allergic reaction to nickel, an element of the stainless steel used in the device. Fitbit offered an immediate refund or replacement with a different Fitbit device to anyone affected. It concluded the statement by saying:

> "We are sorry that even a few customers have experienced these problems and assure you that we are looking at ways to modify the product so that anyone can wear the Fitbit Force comfortably."

Reports of problems continued, with no definitive resolution of why the Force was causing skin irritations. On February 20, 2014, Fitbit issued a statement saying that it was halting sales of the Fitbit Force, and issued a voluntary recall of the device. The same day, Fitbit co-founder and CEO James Pak issued another statement. The statement said, in part:

> "Recently, some Force users have reported skin irritation. While only 1.7% of Force users have reported any type of skin irritation, we care about every one of our customers. On behalf of the entire Fitbit team, I want to apologize to anyone affected."

The statement went on to provide a bullet-point list of what the company knew about the causes of the irritations. The most likely cause, according to an independent lab, was allergic contact dermatitis. Allergic contact dermatitis is a catch-all term for red or inflamed skin brought on by allergies or irritants.

On March 12, 2014, the Consumer Products Safety Commission (CPSC) took action. It announced a recall of the one million Fitbit Force units sold in the United States and the 28,000 sold in Canada. It also made it illegal to sell the Fitbit Force. As a result, anyone who had the Force for sale on Craigslist, eBay, or a similar site had to take it down. The CPSC reported that it had received about 9,000 complaints of the wristband causing skin irritations and about 250 reports of blistering.

The reaction to how Fitbit handled the Fitbit Force situation has been mixed. Some have praised Fitbit for showing concern for its customers and for relatively quickly issuing a voluntary recall. For example, a March 2, 2014, editorial in *Entrepreneur* magazine was titled "How Fitbit, Like Tylenol Before It, Handled a Recall the Right Way." Others have been critical, feeling that Fitbit should have reacted more swiftly. Some Force users also feel that Fitbit hasn't come completely clean on the exact causes of the skin irritations. They'd like to know whether there will be any long-term adverse health consequences caused by the irritations. An example is a man who lives in Bozeman, Montana, and bought a Fitbit Force for his girlfriend. His reaction, as reported on ABC News's health blog, was as follows:

> "The bigger issue is dealing with the unknown. Is this a carcinogen reaction? Will it affect her immune system? I'm sick over this," he wrote in an e-mail. "A gift that was meant to promote health has turned into a nightmare."

Questions for Critical Thinking

1. What does the Fitbit Force incident tell you about Fitbit's ethical culture?
2. On a scale of 1-10 (10 is high), how well do you think Fitbit handled the Fitbit Force situation? After reading this feature, if you were shopping for a wearable fitness tracker, would you be more inclined or less inclined to buy a Fitbit product and why?

3. To what degree, if any, do you think the Fitbit Force incident will negatively affect consumer confidence in wearable technologies in general?
4. What lessons can start-up firms learn, both positive and negative, from the Fitbit Force story?

Sources: Fitbit website (www.fitbit.com, accessed June 22, 2014); K. Roseman, “Fitbit to Stop Selling and Recall Its Force Wristband,” *Wall Street Journal,* Feb. 21, 2014; T. Stenovec, “Fitbit Apologizes to Customers Who’ve Experienced Skin Reactions,” *The Huffington Post*, available at http://www.huffingtonpost.com/2014/01/14/fitbit-apologies-_n_4599193.html, posted on Jan. 14, 2014, accessed on June 22, 2014; “Reports of Rashes Spur Fitbit Recall,” ABC News Health Blog, available at http://abcnews.go.com/blogs/health/2014/03/13/reports-of-fierce-rashes-spur-fitbit-recall/, posted on May 13, 2014, accessed on June 23, 2014.

because she is a friend or because you were pleased with the way she prepared your will. For issues dealing with intellectual property protection, it is essential to use an attorney who specializes in this field; such as a patent attorney when filing a patent application.[9]

While hiring an attorney is advisable, it is not the only option available for researching, preparing, and filing the necessary forms to get a business up and running legally. Most business owners can do much of the preliminary work on their own, and they rely on an attorney for guidance and advice. If you’re particularly tight on money and feel as though you can handle portions of the legal process on your own (which is not generally recommended but may apply in some cases), there are online companies that can help you with the necessary forms and filings. Examples include LegalZoom (www.legalzoom.com), Rocket Lawyer (www.rocketlawyer.com), and Nolo (www.nolo.com). All three companies provide a comprehensive menu of legal services for business owners, including the ability to ask a lawyer questions either for free or for a modest fee. It’s a judgment call as to whether to hire a lawyer to do your legal work, utilize a service such as LegalZoom, RocketLawyer, or Nolo, or pursue a blended approach. A blended approach might involve hiring an attorney to obtain legal advice (such as determining your form of business ownership) and then utilizing one of the online services to prepare the documents and file them with the appropriate governmental agencies on your behalf.

TABLE 7.3 How to Select an Attorney

1. Contact the local bar association and ask for a list of attorneys who specialize in business start-ups in your area.
2. Interview several attorneys. Check references. Ask your prospective attorney whom he or she has guided through the start-up process before and talk to the attorney’s clients. If an attorney is reluctant to give you the names of past or present clients, select another attorney.
3. Select an attorney who is familiar with the start-up process. Make sure that the attorney is more than just a legal technician. Most entrepreneurs need an attorney who is patient and is willing to guide them through the start-up process.
4. Select an attorney who can assist you in raising money for your venture. This is a challenging issue for most entrepreneurs, and help in this area can be invaluable.
5. Make sure your attorney has a track record of completing his or her work on time. It can be very frustrating to be prepared to move forward with a business venture, only to be stymied by delays on the part of an attorney.
6. Talk about fees. If your attorney won’t give you a good idea of what the start-up process will cost, keep looking.
7. Trust your intuition. Select an attorney who you think understands your business and with whom you will be comfortable spending time and having open discussions about the dreams you have for your entrepreneurial venture.
8. Learn as much about the process of starting a business yourself as possible. It will help you identify any problems that may exist or any aspect that may have been overlooked. Remember, it’s your business start-up, not your attorney’s. Stay in control.

Drafting a Founders' Agreement

If two or more people start a business, it is important that they have a founders' (or shareholders') agreement. A **founders' agreement** is a written document that deals with issues such as the relative split of the equity among the founders of the firm, how individual founders will be compensated for the cash or the "sweat equity" they put into the firm, and how long the founders will have to remain with the firm for their shares to fully vest.[10]

The items typically included in a founders' agreement are shown in Table 7.4.

An important issue addressed by most founders' agreements is what happens to the equity of a founder if the founder dies or decides to leave the firm. Most founders' agreements include a **buyback clause**, which legally obligates departing founders to sell to the remaining founders their interest in the firm if the remaining founders are interested.[11] In most cases, the agreement also specifies the formula for computing the dollar value to be paid. The presence of a buyback clause is important for at least two reasons. First, if a founder leaves the firm, the remaining founders may need the shares to offer to a replacement person. Second, if founders leave because they are disgruntled, the buyback clause provides the remaining founders a mechanism to keep the shares of the firm in the hands of people who are fully committed to a positive future for the venture.

Vesting ownership in company stock is another topic most founders' agreements address. The idea behind vesting is that when a firm is launched, instead of issuing stock outright to the founder or founders, it is distributed over a period of time, typically three to four years, as the founder or founders "earn" the stock. Not only does vesting keep employees motivated and engaged, but it also solves a host of potential problems that can result if employees are given their stock all at once. More on the concept of vesting ownership in company stock is provided in the "Savvy Entrepreneurial Firm" feature.

Avoiding Legal Disputes

Most legal disputes are the result of misunderstandings, sloppiness, or a simple lack of knowledge of the law. Getting bogged down in legal disputes is something that an entrepreneur should work hard to avoid. It is important

TABLE 7.4 Items Included in a Founders' (or Shareholders') Agreement

- Nature of the prospective business
- Identity and proposed titles of the founders
- Legal form of business ownership
- Apportionment of stock (or division of ownership)
- Consideration paid for stock or ownership share of each of the founders (may be cash or "sweat equity")
- Identification of any intellectual property signed over to the business by any of the founders
- Description of how the founders will be compensated and how the profits of the business will be divided
- Basic description of how the business will be operated and who will be responsible for what
- Description of the outside business activities that the founders will not be allowed to engage in (e.g., you wouldn't want a founder to engage in an outside business that directly competed with your business)
- Provisions for resolving disputes (many founders' agreements include a stipulation that disputes will be resolved via mediation or arbitration rather than through the courts)
- Buyback clause, which explains how a founder's shares will be disposed of if she or he dies, wants to sell, or is forced to sell by court order

SAVVY ENTREPRENEURIAL FIRM

Vesting Ownership in Company Stock: A Sound Strategy for Start-Ups

If you're not familiar with vesting, the idea is that when a firm is launched, instead of issuing stock outright to the founders, the stock is distributed over a period of time, typically three to four years, as the founder or founders "earn" the stock. The same goes for employees who join the firm later and receive company stock. Instead of giving someone stock all at once, the stock is distributed over a period of time.

The reason vesting is a smart move is that although everyone is normally healthy and on the same page when launching an entrepreneurial venture, you never know what might happen. You want everyone involved with the firm to stay engaged. You also want a way of determining the price of a departing employee's stock, if the firm has a "buyback" clause in its corporate bylaws and wants to repurchase a departing employee's shares. Vesting provides a mechanism for accomplishing both of these objectives. A typical start-up's vesting schedule lasts 36 to 48 months and includes a 12-month cliff. The cliff represents the period of time that the person must work for the company in order to leave with any ownership interest. Thus, if a company has a 48-month vesting schedule and offers 1,000 shares of stock to an employee, if the employee leaves after 10 months, the employee keeps no equity. If the employee leaves after 28 months, the employee gets to keep 28/48 of the equity promised, or 583 of the 1,000 shares. The shares will be issued at a specific price. If an employee leaves and the company is entitled to buy back the employee's shares, normally the buyback clause will stipulate that the shares can be repurchased at the price at which they were issued.

Vesting avoids three problems. First, it helps keep employees motivated and engaged. If the employee in the example mentioned in the previous paragraph received his or her entire allotment of 1,000 shares on day one, the employee could walk away from the firm at any point and keep all the shares. Second, if an employee's departure is acrimonious, there isn't any squabbling about how many shares the employee will leave with—the answer to this question is spelled out in the vesting schedule. In addition, if a buyback clause is in place and it stipulates the formula for determining the value of the departing employee's stock, the company can repurchase the shares without an argument. It's never a good thing to have a former employee, particularly one that left under less than ideal conditions, remain a partial owner of the firm. Finally, investors are generally reluctant to invest in a firm if a block of stock is owned by a former employee. It just spells trouble, which investors are eager to avoid.

Questions for Critical Thinking

1. Investors are often criticized for insisting that a vesting schedule be put in place for stock that's issued to employees. After reading this feature, do you think this criticism is justified? If a company anticipated that it will never take money from an investor, is it still a good idea to establish a vesting schedule? Explain your answer.
2. Why do you think start-ups launch and distribute stock to founders and others members of their new-venture team without vesting schedules?
3. Is it typically necessary to hire an attorney to set up a vesting schedule for a firm, or can the firm do it on its own?
4. If a company started with a single founder and no employees, is it necessary to set up a vesting schedule for the founder?

early in the life of a new business to establish practices and procedures to help avoid legal disputes. Legal snafus, particularly if they are coupled with management mistakes, can be extremely damaging to a new firm.

There are several steps entrepreneurs can take to avoid legal disputes and complications, as discussed next.

Meet All Contractual Obligations It is important to meet all contractual obligations on time. This includes paying vendors, contractors, and employees as agreed and delivering goods or services as promised. If an obligation cannot be met on time, the problem should be communicated to the affected parties as soon as possible. It is irritating for vendors, for example, when they are not paid on time; largely because of the other problems the lack of prompt payments creates. The following comments dealing with construction companies demonstrate this situation: "Not getting paid on time can be devastating to construction companies that have costs to (their) vendors and employees that sometimes require payment weekly. Cash flow problems can send a company into a hole from which they will often not recover."[12] Being forthright with vendors or creditors

Andrey Popov/Shutterstock

One of the simplest ways to avoid misunderstandings and ultimately legal disputes is to get everything in writing.

if an obligation cannot be met and providing the affected party or parties a realistic plan for repaying the money is an appropriate path to take and tends to maintain productive relationships between suppliers and vendors.

Avoid Undercapitalization If a new business is starved for money, it is much more likely to experience financial problems that will lead to litigation.[13] A new business should raise the money it needs to effectively conduct business or should stem its growth to conserve cash. Many entrepreneurs face a dilemma regarding this issue. Most entrepreneurs have a goal of retaining as much of the equity in their firms as possible, but equity must often be shared with investors to obtain sufficient investment capital to support the firm's growth. This issue is discussed in more detail in Chapter 10.

Get Everything in Writing Many business disputes arise because of the lack of a written agreement or because poorly prepared written agreements do not anticipate potential areas of dispute.[14] Although it is tempting to try to show business partners or employees that they are "trusted" by downplaying the need for a written agreement, this approach is usually a mistake. Disputes are much easier to resolve if the rights and obligations of the parties involved are in writing. For example, what if a new business agreed to pay a Web design firm $5,000 to design its website? The new business should know what it's getting for its money, and the Web design firm should know when the project is due and when it will receive payment for its services. In this case, a dispute could easily arise if the parties simply shook hands on the deal and the Web design firm promised to have a "good-looking website" done "as soon as possible." The two parties could easily later disagree over the quality and functionality of the finished website and the project's completion date.

The experiences and perspectives of Maxine Clark, the founder of Build-A-Bear Workshop, provide a solid illustration of the practical benefits of putting things in writing, even when dealing with a trusted partner:

> While I prefer only the necessary contracts (and certainly as few pages as possible), once you find a good partner you can trust, written up-front agreements are often

a clean way to be sure all discussed terms are acceptable to all parties. It's also a good idea after a meeting to be sure someone records the facts and agree-to points, and distributes them to all participants in writing. E-mail is a good method for doing this. Steps like this will make your life easier. After all, the bigger a business gets, the harder it is to remember all details about every vendor, contract, and meeting. Written records give you good notes for doing follow-up, too.[15]

There are also two important written agreements that the majority of firms ask their employees to sign. A **nondisclosure agreement** binds an employee or another party (such as a supplier) to not disclose a company's trade secrets. A **noncompete agreement** prevents an individual from competing against a former employer for a specific period of time. A sample nondisclosure and noncompete agreement is shown in Figure 7.2.

Set Standards Organizations should also set standards that govern employees' behavior beyond what can be expressed via a code of conduct. For example, four of the most common ethical problem areas that occur in an organization are human resource ethical problems, conflicts of interest, customer confidence, and inappropriate use of corporate resources. Policies and procedures should be established to deal with these issues. In addition, as reflected in the "Partnering for Success" boxed features throughout this book, firms are increasingly partnering with others to achieve their objectives. Because of this, entrepreneurial ventures should be vigilant when selecting their alliance partners. A firm falls short in terms of establishing high ethical standards if it is willing to partner with firms that behave in a contrary manner. This chapter's "Partnering for Success" feature illustrates how two firms, Patagonia and Build-A-Bear Workshop, deal with this issue.

When legal disputes do occur, they can often be settled through negotiation or mediation, rather than more expensive and potentially damaging litigation. **Mediation** is a process in which an impartial third party (usually a professional mediator) helps those involved in a dispute reach an agreement.

FIGURE 7.2
Sample Nondisclosure and Noncompete Agreement

Nondisclosure and Noncompetition. (a) At all times while this agreement is in force and after its expiration or termination, [employee name] agrees to refrain from disclosing [company name]'s customer lists, trade secrets, or other confidential material. [Employee name] agrees to take reasonable security measures to prevent accidental disclosure and industrial espionage.

(b) While this agreement is in force, the employee agrees to use [his/her] best efforts to [describe job] and to abide by the nondisclosure and noncompetition terms of this agreement; the employer agrees to compensate the employee as follows: [describe compensation]. After expiration or termination of this agreement, [employee name] agrees not to compete with [company name] for a period of [number] years within a [number] mile radius of [company name and location]. This prohibition will not apply if this agreement is terminated because [company] violated the terms of this agreement.

Competition means owning or working for a business of the following type: [specify type of business employee may not engage in].

(c) [Employee name] agrees to pay liquidated damages in the amount of $[dollar amount] for any violation of the covenant not to compete contained in subparagraph (b) of this paragraph.

IN WITNESS WHEREOF, [company name] and [employee name] have signed this agreement.

____
[company name]

____
[employee's name]

Date: ______________________________

PARTNERING FOR SUCCESS

Patagonia and Build-A-Bear Workshop: Picking Trustworthy Partners

Patagonia: Web: www.patagonia.com; Twitter: @Patagonia; Facebook: Patagonia

Build-A-Bear Workshop: Web: www.buildabear.com; Twitter: @buildabear; Facebook: Build a Bear

Patagonia

Patagonia sells rugged clothing and gear to mountain climbers, skiers, and other extreme-sport enthusiasts. The company is also well known for its environmental stands and its commitment to product quality. Patagonia has never owned a fabric mill or a sewing shop. Instead, to make a ski jacket, for example, it buys fabric from a mill, and zippers and facings from other manufacturers, and then hires a sewing shop to complete the garment. To meet its own environmental standards and ensure product quality, it works closely with each partner to make sure the jacket meets its rigid standards.

As a result of these standards, Patagonia does as much business as it can with as few partners as possible and chooses its relationships carefully. The first thing the company looks for in a partner is the quality of its work. It doesn't look for the lowest-cost provider, who might sew one day for a warehouse store such as Costco and try to sew the next day for Patagonia. Contractors that sew on the lowest-cost basis, the company reasons, wouldn't hire sewing operators of the skill required or welcome Patagonia's oversight of its working conditions and environmental standards. What Patagonia looks for, more than anything, is a good fit between itself and the companies it partners with. It sees its partners as an extension of its own business, and wants partners that convey Patagonia's own sense of product quality, business ethics, and environmental and social concern.

Once a relationship is established, Patagonia doesn't leave adherence to its principles to chance. Its production department monitors its partners on a consistent basis. The objective is for both sides to prosper and win. In fact, in describing the company's relationship with its partners, Patagonia founder Yvon Chouinard says, "We become like friends, family—mutually selfish business partners; what's good for them is good for us."

Build-A-Bear Workshop

A similar set of beliefs and actions describe Build-A-Bear Workshop. Build-A-Bear lets its customers, who are usually children, design and build their own stuffed animals, in a sort of Santa's workshop setting. Like Patagonia, Build-A-Bear is a very socially conscious organization, and looks for partners that reflect its values. Affirming this point, Maxine Clark, the company's founder, said, "The most successful corporate partnerships are forged between like-minded companies with similar cultures that have come together for a common goal, where both sides benefit from the relationship."

Also similar to Patagonia, Build-A-Bear thinks of its partners as good friends. Reflecting on her experiences in this area, Clark said, "I tend to think of partners as good business friends—companies and people who would do everything they could to help us succeed and for whom I would do the same." In a book she wrote about founding and building Build-A-Bear into a successful company, Clark attributes having good partners to careful selection. She also likens business partnership to a marriage, which has many benefits but also takes hard work: "Good business partnerships are like successful marriages. To work, they require compatibility, trust and cooperation. Both parties need to be invested in one another's well-being and strive for a common goal."

Both Patagonia and Build-A-Bear make extensive use of partnerships and are leaders in their respective industries.

Questions for Critical Thinking

1. To what extent do you believe that Patagonia and Build-A-Bear Workshop's ethical cultures drive their views on partnering?
2. Assume you were assigned the task of writing a code of conduct for Patagonia. Write the portion of the code of conduct that deals with business partnership relationships.
3. What similarities do you see between the partnership philosophies of Patagonia and Build-A-Bear Workshop?
4. Spend some time studying Patagonia by looking at the company's website and its Facebook page, and via other Internet searches. Describe Patagonia's general approach to business ethics, social responsibility, and environmental concerns. What, if anything, can start-ups learn from Patagonia's philosophies and its experiences?

Sources: M. Clark, *The Bear Necessities of Business* (New York: Wiley, 2006); Y. Chouinard, *Let My People Go Surfing* (New York: The Penguin Press, 2005).

At times, legal disputes can also be avoided by a simple apology and a sincere pledge on the part of the offending party to make amends. Yale professor Constance E. Bagley illustrates this point.[16] Specifically, in regard to the role a simple apology plays in resolving legal disputes, Professor Bagley refers to a *Wall Street Journal* article in which the writer commented about a jury awarding $2.7 million to a woman who spilled scalding hot McDonald's coffee on her lap. The *Wall Street Journal* writer noted that "A jury awarded $2.7 million to a woman who spilled scalding hot McDonald's coffee on her lap. Although this case is often cited as an example of a tort (legal) system run amok, the *Wall Street Journal* faulted McDonald's for not only failing to respond to prior scalding incidents but also for mishandling the injured woman's complaints by not apologizing."[17]

A final issue important in promoting business ethics involves the manner in which entrepreneurs and managers demonstrate accountability to their investors and shareholders. This issue, which we discuss in greater detail in Chapter 10, is particularly important in light of the corporate scandals observed during the early 2000s, as well as scandals that may surface in future years.

Obtaining Business Licenses and Permits

LEARNING OBJECTIVE

3. Provide an overview of the business licenses and permits that a start-up must obtain before it begins operating.

Many businesses require licenses and permits to operate. Depending on the nature of the business, licenses and permits may be required at the federal, state, and/or local levels. There are three ways for those leading a business to determine the licenses and permits that are necessary. The first is to ask someone who is running a similar business, and they will usually be able to point you in the right direction. The second is to contact the secretary of state's office in the state where the business will be launched. In most cases, they'll be able to help you identify the federal, state, and local licenses that you'll need. The third is to use one of the search tools available online. An example is the SBA's *Permit Me* search tool, available at www.sba.gov/licenses-and-permits. This very useful search tool allows you to search by zip code and type of business for the licenses and permits that are needed to open a particular business.

The number-one rule is that if you're uncertain, ask. Severe penalties can be levied if you start running a business without the proper licenses in place. The following is an overview of the licenses and permits that are required in the United States at the federal, state, and local levels for business organizations.

Federal Licenses and Permits

Most businesses do not require a federal license to operate, although some do. Table 7.5 contains a partial list of the business activities that require a federal license or permit, along with the federal agency to contact and its website address. Seemingly simple businesses sometimes require more licenses and permits than one might think. For example, if you prepare tax returns for others you are required by the IRS to register and obtain a tax preparer tax identification number (PTIN). Similarly, if you make beer that is sold, you'll need a federal permit and a state liquor license. You do not need a federal permit or a state liquor license if you make beer strictly for personal consumption.

State Licenses and Permits

In most states, there are three different categories of licenses and permits that you may need to operate a business. Most states have start-up guides that walk you through the steps of setting up a business in the state. For example, the guide for starting a business in Oregon, called the Startup Toolkit, is available at www.oregon.gov/business/Pages/toolkit.aspx. It provides step-by-step instructions for starting a business in Oregon.

Business Registration Requirements Some states require all new businesses to register with the state. For example, the State of Oklahoma requires new businesses to complete a document titled "Oklahoma Business Registration

TABLE 7.5 Partial List of Businesses That Require a Federal License or Permit to Operate

Business Activity	Federal Agency
Animals—Import or transfer of animals, animal products, or plants across state lines	U.S. Department of Agriculture (www.usda.gov)
Alcohol, Tobacco, Firearms, and Explosives—Including microbreweries and small wineries	U.S. Treasury Alcohol and Tobacco Tax and Trade Bureau (www.ttb.gov)
Aviation—Including businesses that operate aircraft, transport goods or people by air, or provide aircraft maintenance	FAA (www.faa.gov)
Commercial Fisheries	NOAA Fisheries Service (http://www.fisheries.noaa.gov/)
Firearms, Ammunition, and Explosives	Bureau of Alcohol, Tobacco, Firearms and Explosives (www.atf.gov)
Fish and Wildlife—Businesses involved in any wildlife activity	U.S. Fish and Wildlife Service (www.fws.gov)
Income Tax Preparation	IRS (www.irs.gov)
Maritime Transportation	Federal Maritime Commission (www.fmc.gov)
Radio and Television Broadcasting	The Federal Communication Commission (www.fcc.gov)

Application" prior to commencing business. The purpose of the document is to (1) register the business, (2) place the business on the radar screen of the tax authorities, and (3) make sure the business is aware of and complies with certain regulations, such as the need to withhold state and federal taxes from the paychecks of employees. The best way to determine if your state has a similar document is to ask a business owner or contact your secretary of state's office.

Sales Tax Permits Most states and communities require businesses that sell goods, and in some cases services, to collect sales tax and submit the tax to the proper state authorities. If you're obligated to collect sales tax, you must get a permit from your state. Most states have online portals that make it easy to obtain a sales tax permit. For example, if you are opening a business in Texas, you can obtain your Texas Sales Tax Permit at www.window.state.tx.us/taxpermit/.

Professional and Occupational Licenses and Permits In all states, there are laws that require people in certain professions to pass a state examination and maintain a professional license to conduct business. Examples include barbers, chiropractors, nurses, tattoo artists, land surveyors, and real estate agents. There are also certain businesses that require a state occupational license or permit to operate. Examples include plumbers, daycare centers, trucking companies, and insurance agencies.

Local Licenses and Permits

On the local level, there are two categories of licenses and permits that may be needed.

The first is a permit to operate a certain type of business. Examples include child care, barber shops and salons, automotive repair, and hotels and motels. Many cities have quirky requirements, so it's important to check, prior to launching a business, if a specific permit is required. For example, in Atlanta you need a permit to operate a business that involves billiard or pool rooms. In Baltimore, you need a permit to operate a dance academy.

The second category is permits for engaging in certain types of activities. Examples include the following:

- Building permit: Typically required if you are constructing or modifying your place of business
- Health permit: Normally required if you are involved in preparing or selling food
- Signage permit: May be required to erect a sign
- Street vendor permit: May be required for anyone wanting to sell food products or merchandise on a city street
- Sidewalk café permit: May be required if tables and chairs are placed in a city right-of-way
- Alarm permit: Sometimes required if you have installed a burglar or fire alarm
- Fire permit: May be required if a business sells or stores highly flammable material or handles hazardous substances

In addition to obtaining the proper licenses and permits, if you plan to use a fictitious name for your business, you'll need to obtain a fictitious business name permit (also called dba or doing business as). A **fictitious business name permit** allows a business to legally operate under a fictitious name, like Gold Coast Sea Food or Red Rock Bakery. Selecting a name for a business and obtaining a fictitious business name permit if needed is an important task, not only to comply with the law but because a business's name is a critical part of its identity and its branding strategy. It's also one of the first things that people associate with a business. Appendix 7.1 contains a set of guidelines and suggestions for picking a business's name. As illustrated in the appendix, it is important that a business choose a name that facilitates rather than hinders how it wants to differentiate itself in the marketplace.

Finally, all businesses, other than sole proprietorships that do not have employees, are required to obtain a **Federal Employee Identification Number** (normally called the Employer Identification Number or EIN). The easiest and quickest way to obtain an EIN is to go to www.irs.com and click on Apply for an EIN Online. A business's EIN is similar to an individual's social security number. It is used by the IRS to track the business for tax compliance purposes.

Choosing a Form of Business Organization

LEARNING OBJECTIVE

4. Identify and describe the different forms of organization available to new firms.

When a business is launched, a form of legal entity must be chosen. Sole proprietorships, partnerships, corporations, and limited liability companies are the most common legal entities from which entrepreneurs make a choice. Choosing a legal entity is not a one-time event. As a business grows and matures, it is necessary to periodically review whether the current form of business organization remains appropriate.

There is no single form of business organization that works best in all situations. It's up to the owners of a firm and their attorney to select the legal entity that best meets their needs. The decision typically hinges on several factors, which are shown in Figure 7.3. It is important to be careful in selecting a legal entity for a new firm because each form of business organization involves trade-offs among these factors and because an entrepreneur wants to be sure to achieve the founders' specific objectives.

This section describes the four forms of business organization and discusses the advantages and disadvantages of each. A comparison of the four legal entities, based on the factors that are typically the most important in making a selection, is provided in Table 7.6.

FIGURE 7.3
Factors Critical in Selecting a Form of Business Organization

Sole Proprietorship

The simplest form of business entity is the sole proprietorship. A **sole proprietorship** is a form of business organization involving one person, and the person and the business are essentially the same. Sole proprietorships are the most prevalent form of business organization. The two most important advantages of a sole proprietorship are that the owner maintains complete control over the business and that business losses can be deducted against the owner's personal tax return.[18]

Setting up a sole proprietorship is cheap and relatively easy compared to the other forms of business ownership. The only legal requirement, in most states, is to obtain the appropriate license and permits to do business, as described in the previous section of the chapter.

If the business will be operated under a trade name (e.g., West Coast Graphic Design) instead of the name of the owner (e.g., Sam Ryan), the owner will have to file an assumed or fictitious name certificate with the appropriate local government agency, as mentioned earlier. This step is required to ensure that there is only one business in an area using the same name and provides a public record of the owner's name and contact information.

A sole proprietorship is not a separate legal entity. For tax purposes, the profit or loss of the business flows through to the owner's personal tax return document and the business ends at the owner's death or loss of interest in the business. The sole proprietor is responsible for all the liabilities of the business, and this is a significant drawback. If a sole proprietor's business is sued, the owner could theoretically lose all the business's assets along with personal assets. The liquidity of an owner's investment in a sole proprietorship is typically low. **Liquidity** is the ability to sell a business or other asset quickly at a price that is close to its market value.[19] It is usually difficult for a sole proprietorship to raise investment capital because the ownership of the business cannot be shared. Unlimited liability and difficulty raising investment capital are the primary reasons entrepreneurs typically form corporations or limited liability companies as opposed to sole proprietorships. Most sole proprietorships are salary-substitute or lifestyle firms (as described in Chapter 1) and are typically a poor choice for an aggressive entrepreneurial firm.

To summarize, the primary advantages and disadvantages of a sole proprietorship are as follows:

Advantages of a Sole Proprietorship

- Creating one is easy and inexpensive.
- The owner maintains complete control of the business and retains all the profits.
- Business losses can be deducted against the sole proprietor's other sources of income.
- It is not subject to double taxation (explained later).
- The business is easy to dissolve.

TABLE 7.6 Comparison of Forms of Business Ownership

		Partnership		*Corporation*		
Factor	**Sole Proprietorship**	**General**	**Limited**	**C Corporation**	**S Corporation**	**Limited Liability Company**
Number of owners allowed	1	Unlimited number of general partners allowed	Unlimited number of general and limited partners allowed	Unlimited	Up to 100	Unlimited number of "members" allowed
Cost of setting up and maintaining	Low	Moderate	Moderate	High	High	High
Personal liability of owners	Unlimited	Unlimited for all partners	Unlimited for general partners; limited partners only to extent of investment	Limited to amount of investment	Limited to amount of investment	Limited to amount of investment
Continuity of business	Ends at death of owner	Death or withdrawal of one partner unless otherwise specified	Death or withdrawal of general partner	Perpetual	Perpetual	Typically limited to a fixed amount of time
Taxation	Not a taxable entity; sole proprietor pays all taxes	Not a taxable entity; each partner pays taxes on his or her share of income and can deduct losses against other sources of income	Not a taxable entity; each partner pays taxes on his or her share of income and can deduct losses against other sources of income	Separate taxable entity	No tax at entity level; income/loss is passed through to the shareholders	No tax at entity level if properly structured; income/loss is passed through to the members
Management control	Sole proprietor is in full control	All partners share control equally, unless otherwise specified	Only general partners have control	Board of direc-tors elected by the shareholders	Board of directors elected by the shareholders	Members share control or appoint manager
Method of raising capital	Must be raised by sole proprietor	Must be raised by general partners	Sale of limited partnerships, depending on terms of operating agreement	Sell shares of stock to the public	Sell shares of stock to the public	It's possible to sell interests, depending on the terms of the operating agreement
Liquidity of investment	Low	Low	Low	High, if publicly traded	Low	Low
Subject to double taxation	No	No	No	Yes	No	No

Disadvantages of a Sole Proprietorship

- Liability on the owner's part is unlimited.
- The business relies on the skills and abilities of a single owner to be successful. Of course, the owner can hire employees who have additional skills and abilities.
- Raising capital can be difficult.
- The business ends at the owner's death or loss of interest in the business.
- The liquidity of the owner's investment is low.

Partnerships

If two or more people start a business, they must organize as a partnership, corporation, or limited liability company. Partnerships are organized as either general or limited partnerships.

General Partnerships A **general partnership** is a form of business organization where two or more people pool their skills, abilities, and resources to run a business. The primary advantage of a general partnership over a sole proprietorship is that the business isn't dependent on a single person for its survival and success. In fact, in most cases, the partners have equal say in how the business is run. Most partnerships have a partnership agreement, which is a legal document that is similar to a founders' agreement. A **partnership agreement** details the responsibilities and the ownership shares of the partners involved with an organization. The business created by a partnership ends at the death or withdrawal of a partner, unless otherwise stated in the partnership agreement. General partnerships are typically found in service industries. In many states, a general partnership must file a certificate of partnership or similar document as evidence of its existence. Similar to a sole proprietorship, the profit or loss of a general partnership flows through to the partner's personal tax returns. If a business has four general partners and they all have equal ownership in the business, then one-fourth of the profits or losses would flow through to each partner's individual tax return.[20] The partnership files an informational tax return only.

The primary disadvantage of a general partnership is that the individual partners are liable for all the partnership's debts and obligations. If one partner is negligent while conducting business on behalf of the partnership, all the partners may be liable for damages. Although the non-negligent partners may later try to recover their losses from the negligent one, the joint liability of all partners to the injured party remains. It is typically easier for a general partnership to raise money than a sole proprietorship simply because more than one person is willing to assume liability for a loan. One way a general partnership can raise investment capital is by adding more partners. Investors are typically reluctant to sign on as general partners, however, because of the unlimited liability that follows each one.

In summary, the primary advantages and disadvantages of a general partnership are as follows:

Advantages of a General Partnership

- Creating one is relatively easy and inexpensive compared to a corporation or limited liability company.
- The skills and abilities of more than one individual are available to the firm.
- Having more than one owner may make it easier to raise funds.
- Business losses can be deducted against the partners' other sources of income.
- It is not subject to double taxation (explained later).

Disadvantages of a General Partnership

- Liability on the part of each general partner is unlimited.
- The business relies on the skills and abilities of a fixed number of partners. Of course, similar to a sole proprietorship, the partners can hire employees who have additional skills and abilities.
- Raising capital can be difficult.
- Because decision making among the partners is shared, disagreements can occur.
- The business ends at the death or withdrawal of one partner unless otherwise stated in the partnership agreement.
- The liquidity of each partner's investment is low.

Limited Partnerships A **limited partnership** is a modified form of a general partnership. The major difference between the two is that a limited partnership includes two classes of owners: general partners and limited partners. There are no limits on the number of general or limited partners permitted in a limited partnership. Similar to a general partnership, the general partners are liable for the debts and obligations of the partnership, but the limited partners are liable only up to the amount of their investment. The limited partners may not exercise any significant control over the organization without jeopardizing their limited liability status.[21] Similar to general partnerships, most limited partnerships have partnership agreements. A **limited partnership agreement** sets forth the rights and duties of the general and limited partners, along with the details of how the partnership will be managed and eventually dissolved.

A limited partnership is usually formed to raise money or to spread out the risk of a venture without forming a corporation. Limited partnerships are common in real estate development, oil and gas exploration, and motion picture ventures.[22]

Corporations

A **corporation** is a separate legal entity organized under the authority of a state. Corporations are organized as either C corporations or subchapter S corporations. The following description pertains to C corporations, which are what most people think of when they hear the word *corporation.* Subchapter S corporations are explained later.

C Corporations A **C corporation** is a separate legal entity that, in the eyes of the law, is separate from its owners. In most cases, the corporation shields its owners, who are called **shareholders**, from personal liability for the debts and obligations of the corporation. A corporation is governed by a board of directors, which is elected by the shareholders (more about this in Chapter 9). In most instances, the board hires officers to oversee the day-to-day management of the organization. It is usually easier for a corporation to raise investment capital than a sole proprietorship or a partnership because the shareholders are not liable beyond their investment in the firm. It is also easier to allocate partial ownership interests in a corporation through the distribution of stock. Most C corporations have two classes of stock: common and preferred. **Preferred stock** is typically issued to conservative investors who have preferential rights over common stockholders in regard to dividends and to the assets of the corporation in the event of liquidation. **Common stock** is issued more broadly than preferred stock. The common stockholders have voting rights and elect the board of directors of the firm. The common stockholders are typically the last to get paid in the event of the liquidation of the corporation; that is, after the creditors and the preferred stockholders.[23]

Establishing a corporation is more complicated than a sole proprietorship or a partnership. A corporation is formed by filing **articles of incorporation** with the secretary of state's office in the state of incorporation. The articles of incorporation typically include the corporation's name, purpose, authorized number of stock shares, classes of stock, and other conditions of operation.[24] In most states, corporations must file papers annually, and state agencies impose annual fees. It is important that a corporation's owners fully comply with these regulations. If the owners of a corporation don't file their annual paperwork, neglect to pay their annual fees, or commit fraud, a court could ignore the fact that a corporation has been established and the owners could be held personally liable for actions of the corporation. This chain of effects is referred to as "**piercing the corporate veil**."[25]

A corporation is taxed as a separate legal entity. In fact, the "C" in the title "C corporation" comes from the fact that regular corporations are taxed under subchapter C of the Internal Revenue Code. A disadvantage of corporations is that they are subject to **double taxation**, which means that a corporation is taxed on its net income and, when the same income is distributed to shareholders in the form of dividends, is taxed again on shareholders' personal income tax returns. This complication is one of the reasons that entrepreneurial firms often retain their earnings rather than paying dividends to their shareholders. The firm can use the earnings to fuel future growth and at the same time avoid double taxation. The hope is that the shareholders will ultimately be rewarded by an appreciation in the value of the company's stock.

The ease of transferring stock is another advantage of corporations. It is often difficult for a sole proprietor to sell a business and even more awkward for a partner to sell a partial interest in a general partnership. If a corporation is listed on a major stock exchange, such as the New York Stock Exchange or the NASDAQ, an owner can sell shares at almost a moment's notice. This advantage of incorporating, however, does not extend to corporations that are not listed on a major stock exchange. There are approximately 2,800 companies listed on the New York Stock Exchange (with a market capitalization of approximately $18 trillion dollars) and 3,100 on the NASDAQ. These firms are **public corporations**. The stockholders of these 5,900 companies enjoy a **liquid market** for their stock, meaning that the stock can be bought and sold fairly easily through an organized marketplace. It is much more difficult to sell stock in closely held or private corporations. In a **closely held corporation**, the voting stock is held by a small number of individuals and is very thinly or infrequently traded.[26] A **private corporation** is one in which all the shares are held by a few shareholders, such as management or family members, and are not publicly traded.[27] The vast majority of the corporations in the United States are private corporations. The stock in both closely held and private corporations is fairly **illiquid**, meaning that it typically isn't easy to find a buyer for the stock.

A final advantage of organizing as a C corporation is the ability to share stock with employees as part of an employee incentive plan. Because it's easy to distribute stock in small amounts, many corporations, both public and private, distribute stock as part of their employee bonus or profit-sharing plans. Such incentive plans are intended to help firms attract, motivate, and retain high-quality employees.[28] **Stock options** are a special form of incentive compensation. These plans provide employees the option or right to buy a certain number of shares of their company's stock at a stated price over a certain period of time. The most compelling advantage of stock options is the potential rewards to participants when (and if) the stock price increases.[29] Many employees receive stock options at the time they are hired and then periodically receive additional options. As employees accumulate stock options, the link between their potential reward and their company's stock price becomes increasingly clear. This link provides a powerful inducement for employees to exert extra effort on behalf of their firm in hopes of positively affecting the stock price.[30]

To summarize, the advantages and disadvantages of a C corporation are as follows:

Advantages of a C Corporation

- Owners are liable only for the debts and obligations of the corporation up to the amount of their investment.
- The mechanics of raising capital is easier.
- No restrictions exist on the number of shareholders, which differs from subchapter S corporations.
- Stock is liquid if traded on a major stock exchange.
- The ability to share stock with employees through stock option or other incentive plans can be a powerful form of employee motivation.

Disadvantages of a C Corporation

- Setting up and maintaining one is more difficult than for a sole proprietorship or a partnership.
- Business losses cannot be deducted against the shareholders' other sources of income.
- Income is subject to double taxation, meaning that it is taxed at the corporate and the shareholder levels.
- Small shareholders typically have little voice in the management of the firm.

Subchapter S Corporation A **subchapter S corporation** combines the advantages of a partnership and a C corporation. It is similar to a partnership in that the profits and losses of the business are not subject to double taxation. The subchapter S corporation does not pay taxes; instead, the profits or losses of the business are passed through to the individual tax returns of the owners. The S corporation must file an information tax return. An S corporation is similar to a C corporation in that the owners are not subject to personal liability for the behavior of the business. An additional advantage of the subchapter S corporation pertains to self-employment tax. By electing the subchapter S corporate status, only the earnings actually paid out as salary are subject to payroll taxes. The ordinary income that is disbursed by the business to the shareholders is not subject to payroll taxes or self-employment tax.

Because of these advantages, many entrepreneurial firms start as subchapter S corporations. There are strict standards that a business must meet to qualify for status as a subchapter S corporation:

- The business cannot be a subsidiary of another corporation.
- The shareholders must be U.S. citizens. Partnerships and C corporations may not own shares in a subchapter S corporation. Certain types of trusts and estates are eligible to own shares in a subchapter S corporation.
- It can have only one class of stock issued and outstanding (either preferred stock or common stock).
- It can have no more than 100 members. Husbands and wives count as one member, even if they own separate shares of stock. In some instances, family members count as one member.
- All shareholders must agree to have the corporation formed as a subchapter S corporation.

The primary disadvantages of a subchapter S corporation are restrictions in qualifying, expenses involved with setting up and maintaining the subchapter S status, and the fact that a subchapter S corporation is limited to 100 shareholders.[31] If a subchapter S corporation wants to include more than 100 shareholders, it must convert to a C corporation or a limited liability company.

Limited Liability Company

The **limited liability company (LLC)** is a form of business organization that is rapidly gaining popularity in the United States. The concept originated in Germany and was first introduced in the United States in the state of Wyoming in 1978. Along with the subchapter S corporation, it is a popular choice for start-up firms. As with partnerships and corporations, the profits of an LLC flow through to the tax returns of the owners and are not subject to double taxation. The main advantage of the LLC is that all partners enjoy limited liability. This differs from regular and limited partnerships, where at least one partner is liable for the debts of the partnership. The LLC combines the limited liability advantage of the corporation with the tax advantages of the partnership.[32]

Some of the terminology used for an LLC differs from the other forms of business ownership. For example, the shareholders of an LLC are called "members," and instead of owning stock, the members have "interests." The LLC is more flexible than a subchapter S corporation in terms of number of owners and tax-related issues. An LLC must be a private business—it cannot be publicly traded. If at some point the members want to take the business public and be listed on one of the major stock exchanges, it must be converted to a C corporation.

The LLC is rather complex to set up and maintain, and in some states the rules governing the LLC vary. Members may elect to manage the LLC themselves or may designate one or more managers (who may or may not be members)

These two entrepreneurs just opened a baby store. Before they opened, they obtained the necessary licenses and permits and organized as a limited liability company.

Dann Tardif/LWA/Corbis

to run the business on a day-to-day basis. The profits and losses of the business may be allocated to the members anyway they choose. For example, if two people owned an LLC, they could split the yearly profits 50–50, 75–25, 90–10, or any other way they choose.[33]

In summary, the advantages and disadvantages of an LLC are as follows:

Advantages of a Limited Liability Company

- Members are liable for the debts and obligations of the business only up to the amount of their investment.
- The number of shareholders is unlimited.
- An LLC can elect to be taxed as a sole proprietor, partnership, S corporation, or corporation, providing much flexibility.
- Because profits are taxed only at the shareholder level, there is no double taxation.

Disadvantages of a Limited Liability Company

- Setting up and maintaining one is more difficult and expensive.
- Tax accounting can be complicated.
- Some of the regulations governing LLCs vary by state.
- Because LLCs are a relatively new type of business entity, there is not as much legal precedent available for owners to anticipate how legal disputes might affect their businesses.
- Some states levy a franchise tax on LLCs—which is essentially a fee the LLC pays the state for the benefit of limited liability.

Chapter Summary

LO1. Establishing a strong ethical culture in their firms is the single most important thing the founders of an entrepreneurial venture can do. Three important ways to do this are (1) lead by example, (2) establish a code of conduct (also known as a code of ethics), and (3) implement an ethics training program. In the context of "leading by example," three keys to building a strong ethical culture in a firm are (1) having leaders who intentionally make ethics a part of their daily conversations and decision making, (2) supervisors who emphasize integrity when working with their direct reports, and (3) peers who encourage each other to act ethically. A code of conduct and an ethics training program are two techniques entrepreneurs use to promote high standards of business ethics in their firms. A code of conduct describes the general value system, moral principles, and specific ethical rules that govern a firm. An ethics training program provides employees with instructions for how to deal with ethical dilemmas when they occur.

LO2. We show the criteria that are important for selecting an attorney for a new firm in Table 7.3. Critical issues include selecting an attorney familiar with the start-up process, selecting an attorney who can assist you in raising money, and making certain that the attorney has a track record of completing work on time. It is important to ensure that a venture's founders agree on their relative interests in the venture and their commitment to its future. A founders' (or shareholders') agreement is a written document dealing with issues such as the split of equity between or among the founders of the firm, how individual founders will be compensated for the cash or the "sweat equity" they put into the firm, and how long the founders will have to stay with the firm for their shares to fully vest. Suggestions for how new firms can avoid litigation include meeting all contractual obligations, avoiding undercapitalization, getting everything in writing, and promoting business ethics in the firm. A nondisclosure agreement is a promise made by an employee or another party (such as a supplier) not to disclose a company's trade secrets. A noncompete agreement prevents an individual from competing against a former employer for a specific period of time.

LO3. Before a business is launched, a number of licenses and permits are typically needed. The required licenses and permits vary by city, county, and state, as well as by type of business, so it's important to study local regulations carefully. In most communities, a business needs a license to operate. Along with obtaining the appropriate licenses, some businesses may need to obtain one or more permits.

LO4. The major differences among sole proprietorships, partnerships, corporations, and limited liability companies are shown in Table 7.6. These forms of business organization differ in terms of the number of owners allowed, cost of setting up and maintaining, personal liability of owners, continuity of the business, methods of taxation, degree of management control, ease of raising capital, and ease of liquidating investments. Fast-growth firms tend to organize as corporations or limited liability companies for two main reasons: to shield the owners from personal liability for the behavior of the firm and to make it easier to raise capital.

Key Terms

articles of incorporation, **240**
buyback clause, **228**
C corporation, **239**
closely held corporation, **240**
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Review Questions

7-1. When should your friend, who is considering launching a consulting firm to provide financial services to small businesses, think about the ethical climate she wants to establish in her venture?

7-2. Based on the information included in this chapter, in general, do entrepreneurs tend to overestimate or underestimate their knowledge of the laws that pertain to starting a new firm, and why?

7-3. Why is it important for an entrepreneur to build a strong ethical culture for his or her firm?

7-4. What are some of the specific steps that can be taken in an entrepreneurial venture for the purpose of building a strong ethical culture?

7-5. What is the purpose of a *code of conduct*?

7-6. What is the purpose of establishing and using an *ethics training* program in an entrepreneurial firm?

7-7. What are some of the more important criteria to consider when selecting an attorney for a new firm?

7-8. What is a founders' agreement and why is it important for a team of entrepreneurs to have one in place when launching a venture?

7-9. What is the purpose of a nondisclosure agreement and the purpose of a noncompete agreement?

7-10. How can entrepreneurial ventures avoid legal disputes?

7-11. What is mediation and how do entrepreneurs use it to resolve disputes?

7-12. At what point, during the process of starting a firm, does a business need to focus on the business licenses and permits that it needs, and why at that point?

7-13. Why is it important for a firm's founders to think carefully about the name they pick for their company?

7-14. Why isn't choosing a legal entity a one-time event?

7-15. What might trigger a firm's decision to change how it is legally organized?

7-16. What are the advantages and disadvantages of organizing a new firm as a sole proprietorship?

7-17. Is a sole proprietorship an appropriate form of ownership for an aggressive entrepreneurial firm? Why or why not?

7-18. What are the differences between a general partnership and a limited partnership?

7-19. What are the major advantages and disadvantages of a C corporation?

7-20. How is a C corporation subject to double taxation?

7-21. What is the difference between preferred stock and common stock?

7-22. What is meant by the term *piercing the corporate veil* and what are the implications for the owners of a corporation if the corporate veil is pierced?

7-23. What are the differences between a public corporation, a closely held corporation, and a private corporation?

7-24. What are stock options and why would a corporation offer stock options to its employees?

7-25. What are the advantages and disadvantages of a limited liability company?

7-26. Is a limited liability company an appropriate form of ownership for an aggressive entrepreneurial firm, and why might this be so?

Application Questions

7-27. Under what conditions should ethical considerations be part of a company's business plan? Should a company periodically measure its ethical performance? If so, what are the best ways for a firm to do this?.

7-28. Tom Andersen owns an electronics firm in Wichita, Kansas. He has told you that he has been suffering some cash flow problems recently, but has avoided having to borrow money by letting some of his firm's bills run late. When you raised your eyebrows in response to hearing these comments from Tom, he said, "Don't worry. I'm really not nervous about this situation in that I have some large orders coming in soon. I'll use the cash from these orders to catch up on my bills." Does what Tom has told you seem to be a sound strategy for him to follow? What are the downsides associated with how Tom is approaching his cash flow issues?

7-29. Kimberly Smith, a friend of yours, is a freelance journalist. She writes articles on business topics and sells them to business periodicals, newspapers, and online sites. She just read an article about the advantages of organization as a subchapter S corporation or an LLC; however, Kimberly does not know if the article's contents apply to her and her situation or not. Currently, she is organized as a sole proprietorship and doesn't know if it is appropriate or advisable for a freelance journalist to set up a subchapter S corporation or an LLC. Kimberly has turned to you for advice. What advice would you offer to her regarding the issue at hand?

7-30. Friends of your parents are having dinner in your home. The friends are interested in launching an entrepreneurial venture and are expressing some of their views about doing so to your parents. You've been asked to join the conversation given that you are pursuing a major in entrepreneurship at your local university. As it turns out, your parents' friends are involved with two other couples who will join them as founders of the proposed venture. They indicate to you that the other couples have expressed a desire to establish a founders' agreement as part of the launch effort.

They also say though that they see no reason to establish such an agreement given that the three couples are close friends and have been for years. How would you respond to the position about a founders' agreement that your parents' friends are taking? What would you say to them to encourage the establishment of a founders' agreement?

7-31. The "You Be the VC 7.1" feature focuses on GiveForward, a crowdfunding platform through which people can provide financial and emotional support to individuals who are having difficulty covering their out-of-pocket medical costs. Think about the service GiveForward provides to those having difficulty when it comes to paying for all of their out-of-pocket medical expenses. What type of ethical dilemmas do you anticipate might face those working in this firm? To deal with the dilemmas you identify as well as others that might surface, what type of ethics training program would you recommend be developed by GiveForward and used with its employees?

7-32. PillPack is the focus of the "You Be the VC" 7.2 feature. Assume that this firm's founders have asked you to help them write a code of conduct for their firm. Given your understanding of PillPack's business model and its priorities, put together a table of contents for the firm's code of conduct.

7-33. Nancy Willis is purchasing a business named Niagara Laser Optics that is located near Buffalo, New York. The business has had several brushes with the law during the past several years, dealing with claims of false advertising and wrongful termination of employees. As a result, Nancy is quite concerned about the firm's ethical culture. What specific techniques could Nancy use to increase the emphasis placed on business ethics when she takes control of the firm she has purchased?

7-34. You have been approached by a close family friend who is putting together a limited liability company to purchase a condominium complex near Cocoa Beach in Florida. He is asking you along with a number of family members to each invest $10,000 in his company. The condominium complex is for sale for $5 million. Your friend hopes to convince 50 people to invest $10,000 each, which will raise $500,000; he intends to borrow the remaining $4.5 million to close the deal. "I don't mind investing the $10,000 but I'm really nervous about being on the hook for a $4.5 million loan if the deal goes bad," you note to your friend. In response, he insists that all you would have at risk is $10,000 and that you would not be liable for anything else. Is your friend right or wrong about this?

7-35. Laura Simpson just took a job with Cisco Systems in San Jose, California. One of the attractions of this job is the stock option plan Cisco offers to its employees. What is meant by the term "stock option?" Why would Cisco as well as other companies choose to offer stock options to its employees?

7-36. If you launched a start-up venture before graduating with your degree, why would you or why would you not offer stock options to your employees?

YOU BE THE VC 7.1 COMPANY: GiveForward

• Web: www.giveforward.com • Facebook: GiveForward • Twitter: @GiveForward

Business Idea: Launch a crowdfunding platform that allows people to send financial support and encouragement to individuals facing a medical crisis to provide for their out-of-pocket medical expenses.

Pitch: Each year, Americans incur over $400 billion in out-of-pocket medical expenses that are not covered by insurance. Many people find themselves in difficult situations. They are battling a disease like cancer or recovering from a medical crisis such as a stroke, and they have out-of-pocket medical expenses they are unable to pay. Often, the patient has family or friends who want to raise money to help, but they don't know how to go about it. They may sponsor a charity event or try to collect money on their own, but their efforts often fall short of resolving their loved one's medical expenses.

This is where GiveForward comes in. GiveForward is a for-profit crowdfunding platform that specializes in helping people run medical fundraising campaigns. A person initiates a campaign by accessing GiveForward's website and creating a GiveForward fundraising page. Most pages include a photo of the person the money is being raised for, the story of his/her situation, the fundraising goal, updates on the individual's condition, and the dollar amount and words of encouragement from people who have made a financial donation. Each person who initiates a campaign is assigned a personal coach, who provides them guidance on how to raise money online. The coaches typically urge that the people involved share the GiveForward page for their loved one with family, friends, and others via e-mail, Facebook, Twitter, and other social media to elicit support. Once the fundraising campaign is complete, GiveForward sends a check to the person who initiated the campaign. The words of encouragement remain on the GiveForward website forever. GiveForward collects 7.9 percent plus $0.30 from each transaction. Approximately 2.9 percent plus $0.30 of that amount goes for credit card merchant fees, and the remainder is retained by GiveForward. Supporters are provided the option to donate a little extra to cover the fees. Over 60 percent of them do.

Since the site was launched in 2008, GiveForward has helped facilitate tens of thousands of medical fundraising campaigns and helped raise over $84 million. Growth in the number of campaigns and dollar amount being donated is accelerating. While many campaigns are for less than $10,000, some campaigns have been for much larger amounts. In the wake of the 2013 Boston Marathon bombings, the family and friends of two people who were injured launched a GiveForward campaign that raised almost a million dollars.

GiveForward's founders are often asked why the company isn't a nonprofit. There are several reasons. First, in order to be able to send money to fundraisers that are not affiliated with a registered 501(c)3 organization, GiveForward has to be a corporation. Second, GiveForward strives to be an example among a growing list of mission-driven social ventures. Many no-profit organizations spend up to 40 percent of their time and resources fundraising. At GiveForward the vast majority of the money goes directly to the person or family in need. Finally, by organizing as a corporation, GiveForward is able to raise equity capital from investors to expand its reach to broader audiences of people in need.

7-37. Based on the material covered in this chapter, what questions would you ask the firm's founders before making your funding decision? What answers would satisfy you?

7-38. If you had to make your decision on just the information provided in the pitch and on the company's website, would you fund this company? Why or why not?

YOU BE THE VC 7.2 COMPANY: PillPack

• Web: www.pillpack.com • Facebook: PillPack • Twitter: @PillPack

Business Idea: Create an online pharmacy that is easier to navigate than traditional pharmacies by (1) syncing all prescriptions so they can be refilled at the same time, (2) delivering exactly what each customer is required to take for the next two weeks by mail, and (3) sorting each customer's medications into a chain of small plastic envelopes that contain the exact medications that a customer needs to take labeled by° day and time of day.

Pitch: Approximately 10.6 percent of the American population, or 30 million people, take five or more prescription drugs per day. Many people in this category visit their pharmacy multiple times per month because their prescriptions aren't synced. Once they get home, they have to sort their medications into daily doses. This task can be difficult for elderly patients, who may be taking different meds at different times of the day. It's also hard for people who have hands that shake or poor eyesight, and find it difficult to sort medications into pill boxes.

PillPack, which is an online pharmacy, has developed a system that provides a solution to these problems. First, the company syncs all of its customers' prescriptions so they can be refilled at the same time. Second, the prescriptions are delivered by mail every two weeks in a small, discreet, tamper-evident box. Third, inside the box is a recyclable plastic dispenser—a PillPack—with a large decal on the side displaying images and descriptions of each of the medications inside. Rolled inside each PillPack is chain of small plastic envelopes, each of which holds the specific prescriptions, over-the-counter medications, and vitamins that a customer is supposed to take, labeled by day and time of day. Each envelope can easily be torn from the chain. No more sorting. No more pill boxes. No more waiting in line at the pharmacy. PillPack applied design thinking principles to make the ordering and taking of medications as simple and error-free as possible.

PillPack's target market is individuals who take five or more prescription drugs a day. It was conceived by J. Parker, who grew up working in his father's family-owned pharmacy. He often delivered medications to his father's customers, and the sight of customers with piles of pill bottles and computer spreadsheets taped to refrigerator doors (to help them sort and remember to take their medications on time) convinced him there had to be a better way. After graduating from the Massachusetts College of Pharmacy and Health Sciences in 2012, Parker started the process of creating PillPack.

PillPack, which launched in early 2014, is a full-service pharmacy available in 34 states. It charges $20 per month for its service, and its prices for prescription medications are on-par with traditional pharmacies. Once enrolled, PillPack handles all the logistics for its customers, including transferring their medications, confirming the medications and start date, shipping the medications right to their door, and contacting their doctor for refills.

7-39. Based on the material covered in this chapter, what questions would you ask the firm's founders before making your funding decision? What answers would satisfy you?

7-40. If you had to make your decision on just the information provided in the pitch and on the company's website, would you fund this company? Why or why not?

CASE 7.1

Preparing a Proper Legal Foundation: A Start-up Fable

Bruce R. Barringer, *Oklahoma State University*
R. Duane Ireland, *Texas A&M University*

Introduction

Jack Peterson and Sarah Jones are planning to start a business. Their plan is to locate and operate 10 kiosks in malls and other high-traffic areas to sell accessories for Apple iPhones, iPads, and iPods. To complement their accessory sales, the two have created a series of short videos that help users learn how to make better use of their iPhones, iPads, and iPods. The videos will be available on Jack and Sarah's website for a one-time fee of $5.99 or on an app they are developing for a $5.99 one-time download fee. Both the website and the mobile app will include promotions to buy additional iPhone, iPad, and iPod accessories via Jack and Sarah's kiosks or through their online store.

iUser Accessories is the tentative name for the business. Jack and Sarah like to use the word *tentative* because they aren't completely sold on the name. The Internet domain name, www.iuseraccessories.com, was available, so they registered it on GoDaddy.com. Part of their start-up funding will be used to hire a trademark attorney to do a formal trademark search before they use the name or do any advertising.

Jack and Sarah met in an introduction to entrepreneurship course at their local university. They hit it off while working on the initial business plan for iUser Accessories, which they completed as an assignment for the class. Their senior year, they refined the plan by working on it during a business planning class. They took first place in a university-wide business plan competition just before graduation. The win netted them $10,000 in cash and $10,000 in "in-kind" services for the business. Their plan was to use the money to establish a relationship with an accountant affiliated with the university.

Feasibility Analysis and Business Plan

As part of their business plan, Jack and Sarah completed a product feasibility analysis for iUser Accessories. They first developed a concept statement and distributed it to a total of 20 people, including professors; electronic store owners; iPhone, iPad, and iPod users; and the parents of young iPhone, iPad, and iPod users. The responses were both positive and instructive. The idea to distribute videos dealing with how to better use your iPhone, iPad, and iPod via streaming video over the Internet or via the mobile app came directly from one of the concept-statement participants. Jack and Sarah's original idea was to distribute this material in a more conventional manner. The person who came up with the idea wrote on the bottom of the concept statement, "Not only will this approach save you money (by not having to distribute actual DVDs) but it will drive traffic to your website and your app and provide you with additional e-commerce opportunities."

Following the concept statement, Jack and Sarah surveyed 410 people in their target market, which is 15- to 35-year-olds. They did this by approaching people wherever they could and politely asking them to complete the survey. They persuaded one of their marketing professors to help them with the survey's design, to make sure it generalized to a larger population. They learned that 58 percent of the people in their target market own an iPod or iPhone or plan to buy one soon. The survey also listed a total of 36 iPhone, iPad, and iPod accessories, which are available through vendors to which Jack and Sarah have access. The results affirmed Jack and Sarah's notion that the vast majority of people in their target market don't realize the number of iPhone, iPad, and iPod accessories that exist, let alone know where to get them. They also were pleased with the high degree of interest expressed by the survey participants in learning more about many of the accessories.

Start-up Capital

As part of their business plan, Jack and Sarah completed one- and three-year pro forma financial statements, which demonstrate the potential viability of their business. They have commitments for $66,000 of funding from friends and family. According to their projections, they should be cash-flow positive within four months and will not need any additional infusions of cash, unless they expand the business beyond the scope of their original business plan. The projections include salaries of $35,000 per year for both Jack and Sarah, who will both work more than 40 hours a week manning the kiosks and running the business.

Jack and Sarah are fortunate in that they are able to each contribute $3,000 to the business personally and were able to gain commitments of $30,000 each from their respective groups of friends and family. A year or so ago they participated in a class offered by their local Small Business Development Center (SBDC) about how to start a business and remembered an attorney saying that it's all right to talk to people about funding prior to talking to an attorney, but don't actually accept any money until you have your legal ducks in order. As a result, other than their own money, Jack and Sarah don't actually have the $66,000 yet. They can accumulate it within 30 days once they are confident that the business is a go.

Preparing for the Meeting with the Attorney

Jack and Sarah plan to launch their business on September 15, just a couple of months prior to the start of the busy Christmas season. They spent some time asking around the business school and the technology incubator attached to their university to identify the name of a good small-business attorney. They identified an attorney and made the appointment. The appointment was scheduled for 2:15 P.M. on July 16 at the attorney's office.

Another takeaway that Jack and Sarah gleaned from the SBDC class was to plan carefully the time you spend with an attorney, in order to make best use of your time and minimize expenses. As a result, prior to the meeting, Jack and Sarah planned to spend several evenings at a local Barnes & Nobel bookstore, looking at books that deal with forms of business ownership and other legal issues and making a concise list of issues to discuss with the attorney. They had also gone over this material in preparing their business plan. In the meeting

Wavebreakmedia/Shutterstock

Jack and Sarah preparing for the meeting with the attorney.

(*continued*)

with the attorney, they want to be as well informed as possible and actually lead the discussion and make recommendations. Sarah's dad is a real estate agent and had dealt with many attorneys during his career. One thing he told her, in helping her prepare for this meeting, is that attorneys are helpful and necessary but shouldn't make your decisions for you. Sarah shared this insight with Jack, and they were both determined to follow that advice in their upcoming meeting.

Jack and Sarah's Recommendations

To put their list on paper and get started, Jack created a document (shown nearby) for the purposing of listing issues they wanted to discuss with the attorney.

Jack and Sarah spent the next several evenings completing this list and talking about their business. When they made the call to set up the meeting with the attorney, the attorney told them that she wasn't an intellectual property lawyer, and if it looked like the business was a go after their meeting, she could arrange for them to talk to one of her partners who specialized in patent and trademark law. As a result, Jack and Sarah knew that this meeting would focus more on forms of business ownership and general legal issues, and they would address their intellectual property questions at another meeting.

Jack Peterson and Sarah Jones

Founders, iUser Accessories

List of Legal Issues to Discuss with Attorney

Issue	Jack and Sarah's Recommendation

The Day Arrives

The day for the meeting arrived, and Jack and Sarah met at the attorney's office at 2:15 P.M. They had e-mailed the attorney their list of issues along with their recommendations a week prior to the meeting. The attorney greeted them with a firm handshake and opened a file labeled "iUser Accessories, Jack Peterson and Sarah Jones." Seeing their names like that, on an attorney's file, made it seem like their company was already real. The attorney looked at both of them and placed a copy of the list they had e-mailed in front of her. The list already had a number of handwritten notes on it. The attorney smiled and said to Jack and Sarah, "Let's get started."

Discussion Questions

7-41. Complete Jack and Sarah's list for them, including the issues you think they will place on the list along with their recommendations. Which of the issues do you think will stimulate the most discussion with the attorney, and which issues do you think will stimulate the least?

7-42. What are some of the actions Jack and Sarah took prior to meeting with the attorney that are appropriate for them to have taken?

7-43. Is it too early for Jack and Sarah to begin laying an ethical foundation for their proposed venture? If not, what steps could they take now as a foundation for an ethical culture within their firm?

7-44. What advantages do Jack and Sarah have starting iUser Accessories together, rather than one of them starting it as a sole entrepreneur?

7-45. Based on information featured in the case, what challenges do you think Jack and Sarah will have keeping their partnership together?

CASE 7.2

CoachUp and Charity: Water: How For-Profit and Nonprofit Start-ups Build Credibility and Trust

• CoachUp: www.coachup.com • Facebook: CoachUp • Twitter: @CoachUp
• charity: water: Web: www.charitywater.org • Facebook: charity: water • Twitter: @charitywater

Bruce R. Barringer, *Oklahoma State University*
R. Duane Ireland, *Texas A&M University*

Introduction

Credibility is a vital part of any start-up's persona. Whether a prospective customer in a for-profit context or a prospective donor in a nonprofit context, it's important that the company or organization presents itself in a manner that builds credibility and trust during first encounters. Both consumers and donors have multiple options for allocating their money. As a result, it's essential that a start-up make a favorable first impression and give its patrons reasons to trust it.

How Companies and Organizations Build Credibility and Trust

There are several ways companies and organizations can build credibility and trust. We present eight techniques that are essential in nearly all cases in the following list.

The following are examples of how two organizations—one for-profit and one nonprofit—are building credibility and trust via these techniques.

Techniques for Engendering Credibility, Legitimacy, and Trust

Technique	Explanation
1. Have an attractive logo, corporate e-mail address, and professional looking website.	Prospective customers and donors have a mental image of what *real* companies and organizations looks like. If your logo, website, or e-mail address look amateurish or suspect, the game is up. Always have a corporate.com or .org e-mail address. A Gmail or Yahoo! e-mail address makes a company or organization look amateurish.
2. Receive media coverage.	Display prominently on your website the media coverage you've received. If you're new, start by asking bloggers in your industry to cover you. Media coverage is a tacit sign of legitimacy and support.
3. Obtain expert testimonials.	Get expert testimonials and feature them on your website and in your literature. An expert doesn't have to be someone who is famous. If you're selling surgery-related software, ask a surgeon to test it and comment. If you're starting a nonprofit to provide a place for at-risk kids to hang out after school, ask the local police chief or a school principal to comment on your service.
4. Obtain customer testimonials.	Ask customers, donors, or recipients of the good or service you provide to test that good or service and then to comment about their experiences. Include their pictures if possible. Positive quotes from real people are often the most persuasive.
5. Give people a reason to care.	Make sure to convey your start-up's relevance, but don't use buzz words like you're "revolutionary," or "are the industry's best." These terms are too slick. Instead, be genuine. Explain in everyday language why your customers or donors should care.
6. Tell your story.	Why do you care? There is nothing that builds credibility and trust faster than a founder telling the sincere story of why he or she is launching a company or starting a nonprofit. Include your picture and put a real e-mail address next to it.
7. Have a presence on Twitter, Facebook, or both.	Like it or not, people will look for you on Twitter and Facebook. If you're not there, it's a red flag. Establish a presence on one or both sites and provide frequent updates.
8. Tell people how you'll use and/or protect their money.	If you're a for-profit business, offer a money-back guarantee. If you're a nonprofit, explain in specific terms how your donor's money will be spent.

(*continued*)

CoachUp

Launched in 2012, CoachUp is a service that connects athletes with private coaches. The company believes strongly that private coaching is the secret to reaching the next level in sports and life. CoachUp was founded by Jordan Fliegel. Fliegel was an average high school basketball player until has father hired a private coach for him, Greg Kristof, who had been the captain of the Brandeis University team. The sessions with Kristof helped Fliegel make his own high school basketball team, and he went on to play in college and in a professional league overseas. CoachUp's website matches athletes, in all major sports, with coaches that are willing to work with them. Over 60,000 athletes have connected with more than 12,000 coaches since the site was launched. CoachUp vets all coaches for necessary coaching experience. The average cost of a coaching session is $40-$60 per hour. CoachUp makes money by taking a small percentage of the coaching fees charged through its site.

That's the service that CoachUp offers. Here's how CoachUp is building credibility and trust via the eight techniques described previously.

1. It has a professional logo design, beautiful website, and a corporate e-mail address.
2. It has attracted considerable press and has been featured on ABC, CNN, and CBS SportsRadio. Articles about CoachUp have appeared in *The Huffington Post, Forbes, The Wall Street Journal*, and *USA Today*.
3. CoachUp has established partnerships with the National High School Basketball Association, the Positive Coaching Alliance, and the Sports Legacy Institute. Its advisory board includes Philadelphia 76ers center Nerleans Noel and Boston Bruins president Cam Neely. The company has raised money from private investors Paul English (co-founder of Kayak.com) and Albert Dobron (managing director of Providence Equity Partners) and venture capital firms Point Judith Capital and General Catalyst Partners.
4. CoachUp maintains an archive of customer testimonials on its website. The testimonials are provided by coaches, athletes, and the parents of athletes.
5. The company routinely posts videos on the front page of its website that depict the benefits of private coaching. The videos connect potential clients with CoachUp's core belief—that coaching is the secret to reaching the next level in both sports and life.
6. CoachUp founder Jordan Fliegel is very transparent about his story—of being a mediocre high school basketball player who, through the efforts of a private coach, made his high school team, played in college, and played professional basketball overseas. The company's core values are also very visible and transparent. CoachUp believes that private coaching helps boost the performance and life skills of athletes and provides extraordinarily rewarding experiences for coaches.
7. The company is active on both Twitter and Facebook. As of June 2014, it had 4,780 Twitter followers and a very active Facebook page.
8. CoachUp offers a 100 percent money back guarantee on all sessions. CoachUp also provides a phone number on its website (1-888-680-4750) and encourages its clients or prospective clients to call at any time with questions or concerns.

CoachUp prominently features this information on its website. It's tastefully done, provides useful information, conveys the company's values, and provides multiple opportunities (i.e., FAQ, blog, Twitter, Facebook) for prospective customers to get to know the company before trying it out. While these techniques serve multiple purposes, they're essential in helping CoachUp build credibility and trust with its target market.

Charity: Water

Charity: Water is a nonprofit organization bringing safe and clean drinking water to people in developing countries. Founded in 2006, it has helped fund over 11,700 water projects in 22 countries.

Charity: Water was started by Scott Harrison. Harrison developed a passion for helping alleviate the plight of the 1-plus billion people in the world who do not have access to clean water. The company started when Harrison asked a large group of family, friends, and acquaintances to attend his 31st birthday party. Instead of giving him a gift, he asked each invitee to pledge $31 to help him start a nonprofit to focus on clean water. A total of 700 people attended, and the money was used to fund the drilling of six wells in a refugee camp in Uganda. Charity: Water has grown and is now active across the world. It has done many things to bring the urgency of its cause to the attention of the public, including setting up an outdoor exhibition in New York City in which it displayed tanks of water that were similar in appearance and quality to the poor-quality water consumed daily in many parts of the world. In 2012 alone, Charity: Water raised $33 million and funded more than 2,000 water projects. Its projects vary from country to country depending on water sources, the nature of the terrain, and the local population. Its solutions range from drilled wells to rainwater catchments (gutters on rooftops that catch rain water and place it in sanitary holding tanks) to spring protections (a system captures and safely stores pure water from a natural spring).

That's what Charity: Water is about. Like any charity, it relies on the trust and support of its donors. Here's how Charity: Water covers the eight techniques shown previously for building credibility and support.

1. It has a professional logo design, beautiful website, and a .org e-mail address.
2. It's attracted considerable press and has been featured on MSNBC, ABC, CNN, and Fox News. Articles have been written about it in *The New York Times, USA Today, The New Yorker*, and other outlets.
3. A number of high-profile people have raised money for Charity: Water, including Tony Hawk, Justin Bieber, and Dr. Oz. In each area of the world it enters, Charity: Water collaborates with local partners to complete its work.

4. In 2012, 90,057 people donated money to Charity: Water for an average donation of $187.90. A section of Charity: Water's website is titled "Stories from the Field." The stories provide contributors a personal view of what it's like for someone to get clean water for the first time, and the difference their donations are making to real people across the world.
5. The statistics that Charity: Water disseminates about the hazards of unsafe drinking water are both compelling and heart-wrenching. Unsafe drinking water represents a health crisis in many parts of the world. A total of 90 percent of the 30,000 deaths that occur each week from unsafe water and unhygienic living conditions are children under five years old.
6. Charity: Water's website provides extensive information about why the organization was started and who's behind it.
7. Charity: Water is active on both Twitter and Facebook. As of June 2014, it had 1.43 million Twitter followers and a very active Facebook page.
8. Since day one, Charity: Water has believed in proving its work to its supporters. Much of the money raised by Charity: Water is raised via campaigners, which are schools, churches, and others who are interested in helping provide clean water for people in need. Once a campaigner's project is funded and finished, they are sent a completion report with photos and GPS coordinates of their project.

Discussion Questions

7-46. What actions have CoachUp and Charity: Water taken to establish trust and credibility with various groups?

7-47. How can building trust and credibility help start-up firms avoid legal disputes and problems?

7-48. As related to ethics and ethical behavior, what are the characteristics you anticipate are associated with the cultures at CoachUp and Charity: Water?

7-49. Describe actions the founders of CoachUp (Jordan Fliegel) and Charity: Water (Scott Harrison) took to lead by example with respect to establishing an ethical culture.

Sources: CoachUp website, www.coachup.com (accessed June 19, 2014); Charity: Water website, www.charitywater.org (accessed June 19, 2014).

APPENDIX 7.1 What's in a Business Name?: A Lot of Trouble If You Aren't Careful

Introduction

While at first glance naming a business may seem like a minor issue, it is an extremely important one. A company's name is one of the first things people associate with a business, and it is a word or phrase that will be said thousands or hundreds of thousands of times during the life of a firm. A company's name is also the most critical aspect of its branding strategy. A company brand is the unique set of attributes that allows consumers to separate it from its competitors. As a result, it is important that a business choose its name carefully so that it will facilitate rather than hinder how the business wants to differentiate itself in the marketplace.

If an entrepreneur isn't careful, the process of naming a business can also result in a peck of trouble. There are a number of legal issues involved in naming a business, which should be taken seriously. If a business selects a name and later finds out that it has already been legally taken, the business may have to (1) amend its articles of incorporation, (2) change its Internet domain name, (3) obtain new listings in telephone and other directories, (4) purchase new stationery and business cards, (5) redo signage and advertising, and (6) incur the expense and potential embarrassment of introducing a new name to its customers. These are complications that no entrepreneur wants to endure. The following case describes the strategies for naming a business, along with the legal issues involved.

Strategies for Naming a Business

The primary consideration in naming a company is that the name should complement the type of business the company plans to be. It is helpful to divide companies into four categories to discuss this issue.

Consumer-Driven Companies

If a company plans to focus on a particular type of customer, its name should reflect the attributes of its clientele. For example, a high-end clothing store that specializes in small sizes for women is called La Petite Femme. Similarly, a company named Local Dirt helps food retailers connect with local producers of produce, meats, and other food products. These companies have names that were chosen to appeal specifically to their target market or clientele.

Product- or Service-Driven Companies

If a company plans to focus on a particular product or service, its name should reflect the advantages that its product or service brings to the marketplace. Examples include Jiffy Print, Anytime Fitness, and 1-800-FLOWERS. These names were chosen to reflect the distinctive attributes of the product or service the company offers, regardless of the clientele.

Industry-Driven Companies

If a company plans to focus on a broad range of products or services in a particular industry, its name should reflect the category in which it participates. Examples include General Motors, Bed Bath & Beyond, and Home Depot. These companies have names that are intentionally broad and are not limiting in regard to target market or product selection.

Personality- or Image-Driven Companies

Some companies are founded by individuals who put such an indelible stamp on the company that it may be smart to name the company after the founder. Examples include Liz Claiborne, Walt Disney, Charles Schwab, and Magic Johnson Enterprises. These companies have names that benefit from a positive association with a popular or distinctive founder. Of course, this strategy can backfire if the founder falls out of favor in the public's eye.

While names come to some business owners easily, for others it's a painstaking process. It was a painstaking process for JetBlue, as described in the book *Blue Streak*, which is a chronology of the early years of JetBlue. According to Barbara Peterson, the book's author, David Neeleman, the founder of JetBlue, and his initial management team agonized over what to name the company and considered literally hundreds of names before settling on JetBlue. JetBlue was launched in 1999. Neeleman felt that a strong brand would surmount the handicap of being a new airline and believed that the company's name was the key to building its brand. A list of some of the alternative names that Neeleman and his management team seriously considered for JetBlue is shown in a nearby feature. Today, it's hard to think of JetBlue as anything other than JetBlue, which illustrates the power of branding.

Names That Were Seriously Considered for JetBlue

Air Hop	Egg
Scout Air	It
Competition	Blue
Home	Fair Air
Air Taxi	Scout
Avenues	Hi! Way
Civilization Airways	True Blue

Legal Issues Involved in Naming a Business

The general rule for business names is that they must be unique. In other words, in most instances, there may not be more than one business per name per state. In addition, a business may not have a name that is confusingly similar to another business. This regulation prevents a software company from naming itself Macrosoft, for example, which Microsoft would undoubtedly claim is confusingly similar to its name.

To determine if a name is available in a particular state, the entrepreneur must usually contact the secretary of state's office to see if a particular name is available. The inquiry can typically be accomplished online or over the phone. If the name is available, the next step is to reserve it in the manner recommended by the secretary of state's office. Many attorneys and incorporation services include this step in the fee-based services they offer to entrepreneurs and their ventures.

Once a name that is available has been chosen, it should be trademarked. The process for obtaining a trademark is straightforward and relatively inexpensive, given the protection it provides. A full explanation of how to obtain a trademark is provided in Chapter 12 of this book.

The entire process of naming a business is often very frustrating for entrepreneurs, because it is becoming increasingly difficult to find a name that isn't already taken. For example, if an entrepreneur was planning to open a new quick-printing service, almost every possible permutation of the word *printing* with words like *quick, swift, fast, rapid, speedy, jiffy, express, instant*, and so forth are taken. In addition, sometimes names that work in one culture don't work in another, which is something that should be taken into consideration. The classic example of this is the Chevy Nova. After much advertising and fanfare, the car received a very cool reception in Mexico. It turned out that the phrase N*o va* in Spanish means "Doesn't Go." Not surprisingly, the Nova didn't sell well in Mexico.

As a result of these complications, and for other reasons, entrepreneurs use a variety of other strategies when naming their business. Some names are simply made up, because the firm wants a name that is catchy or distinctive, or because it needs to make up a name to get an Internet domain name that isn't already taken (more about this later). Examples of names that were made up include Wello, Verizon, eBay, Google, and Fitbit. Some of these names are made up with the help of marketing research firms that use sophisticated methodologies such as an evaluation of the "linguistic properties" (will a consumer read the name properly?), the "phonetic transparency" (is it spelled as it sounds?), and the "multilingual functionality" (is it as intelligible in Japanese as in English?) of a particular name. All of these issues are potentially important. Several years ago Anderson Consulting changed its name to Accenture. The pronunciation of "Accenture" isn't obvious, which has been a problem for the firm ever since.

Internet Domain Names

A final complicating factor in selecting a name for a company is registering an Internet domain name. A domain name is a company's Internet address (e.g., www.facebook.com). Most companies want their domain name to be the same as their company's name. It is easy to register a domain name through an online registration service such as GoDaddy.com (www.godaddy.com). The standard fee for registering and maintaining a domain name is about $13 per year.

Because no two domain names can be exactly the same, frustrations often arise when a company tries to register its domain name and the name is already taken. There are two reasons that a name may already be taken. First, a company may find that another company with the same name has already registered it. For example, if an entrepreneur started a company called Delta Semiconductor, it would find that the domain name www.delta.com is already taken by Delta Airlines. This scenario plays itself out every day and represents a challenge for new firms that have chosen fairly ordinary names. The firm can either select another domain name (such as www.deltasemiconductor.com) or try to acquire the name from its present owner. However, it is unlikely that Delta Airlines would give up www.delta.com for any price. The second reason that a domain name may already be taken is that it might be in the hands of someone who has registered the name with the intention of using it at a later date or of someone who simply collects domain names in hopes that someone will want to buy the name at a higher price.

Still, a little imagination goes a long way in selecting a company name and an Internet domain name. For example, we (your book's authors) made up the name iUser Accessories for the business described in Case 7.1. The Internet domain name www.iuseraccessories.com was available, which we registered on GoDaddy.com for $13 per year. What might we do with this Internet domain name? We aren't certain. But, another party deciding to launch an entrepreneurial venture with this name will discover that the hoped-for name is already registered.

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